

July 28, 2026 04:36 AM GMT

Luxury | Europe

Updating our tax rate assumptions

Key Takeaways

- We believe the market may be underestimating the likelihood of the French tax surcharge being cemented amid the political risk and fiscal challenges in France
- We now incorporate the tax surcharge for LVMH and Hermès into our outer years (our effective tax rate assumptions are +300-400bps higher than VA css for 2027-2029)

Our France Economics teams have published this morning [A Comprehensive Framework Ahead of French Elections](#), where they note that France faces a challenging political calendar with the budget season (autumn 2026), the presidential election (18 April and 2 May 2027) and, in their baseline scenario, snap parliamentary elections around mid-June 2027. They believe these events are likely to keep policy uncertainty elevated well into the middle of next year. We think there is a risk for the French corporate tax surcharge to be extended into 2027 and beyond.

LVMH, Hermès, Kering and Richemont are exposed to any changes to corporate tax rates for large companies in France. While their sales exposure to France is limited (<10% for all), taxation is based on where the economic value creation is produced – thus skewed to where goods production takes place (Hermès discloses that 74% of its products are manufactured in France, and around ~50% for LVMH, ~35% for Richemont and ~15% for Kering, on our estimates).

As a reminder, in 2025 the French government implemented a corporate income tax surcharge of 20% (that is, tax rate going to 30% from 25%) for companies with revenues of €1-3bn in France (this includes Kering), and a surcharge of 41% (tax rate going to 35.25% from 25%) for those with revenues above €3bn in France (includes LVMH, Hermès and Richemont; note we include inter-company sales when estimating total sales generated in France).

We believe the political and fiscal challenges France faces may cement the tax surcharge. We adjusted our tax rate for LVMH yesterday evening (post LVMH results - see [Off the call / updating estimates \(27 Jul 2026\)](#)) and adjust the tax rate for Hermès. We now model the same effective tax rate as 2025 (when the recent corporate tax surcharge was implemented) for the outer years in our model for both companies.

Overall, we believe the market may be underestimating the EPS impact to LVMH and Hermès (~6% EPS downside) from a sustained tax surcharge. As can be seen in [Exhibit 1](#) below, current Visible Alpha consensus does not incorporate the French

MORGAN STANLEY & CO. INTERNATIONAL PLC+

Natasha Bonnet		
Equity Analyst		
Natasha.Bonnet@morganstanley.com		+44 20 7677-5723
Edouard Aubin		
Equity Analyst		
Edouard.Aubin@morganstanley.com		+44 20 7425-3160
Grace Smalley, CFA		
Equity Analyst		
Grace.Smalley@morganstanley.com		+44 20 7425-9629
Cedric Norest		
Research Associate		
Cedric.Norest@morganstanley.com		+44 20 7425-1462

BRANDS		
Europe		
Industry View	In-Line	
WHAT'S CHANGED		
Hermes International S.C.A. (HRMS.PA)		
Price Target	From €1,930.00	To €1,850.00
2027e ModelWare EPS (€)	51.35	49.56
2028e ModelWare EPS (€)	57.10	55.12
Richemont SA (CFR.S)		
Price Target	From SFr 225.00	To SFr 220.00
2027e ModelWare EPS (€)	7.43	7.26
2028e ModelWare EPS (€)	8.61	8.41

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tax surcharge post 2026 for LVMH nor Hermès. Should the corporate tax surcharge be cemented for longer (as is now our base case), there is ~5-6% EPS downside to consensus on LVMH and Hermès from the tax rate change alone.

- We note that **LVMH** paid €5.5bn in taxes in 2025, of which roughly half in France, according to the company. We estimate the French tax surcharge amounted to close to €700m in that year. We adjusted our tax rate for LVMH yesterday evening (post LVMH results - see [here](#)); the impact to our EPS from just the change in our tax rate assumptions was -6.2% in 2027-2029.
- The CFO of **Hermès** (whose tax bill was €2.3bn in 2025, of which around half paid in France) observed that the tax surcharge in 2025 amounted to ~€330m, saying that it was "equivalent to a 5% increase [in the company's tax rate] in 2025" and that "we hope that it just happens for a couple of years, but maybe this exceptional tax will be a feature in years to come". We adjust our tax rate for Hermès, now modeling a tax rate of 33.4% (in-line with 2025) going forward. Our 2027-29 EPS come down by 3.5%. Our price target is now €1,850 (vs. €1,930 previously).
- At **Richemont**, while we estimate ~35% of its production takes places in France, Cartier's headquarters are based in Geneva (not Paris), so we assume the majority of its profits are generated in Switzerland (under international tax principles, profits are allocated according to where strategic decision-making, brand stewardship, pricing architecture and intellectual property oversight are located). Therefore, we assume that only ~5% of its profits are exposed to French taxation and thus the surcharge impact was not meaningful in the last financial year. We nonetheless take this opportunity to refresh our estimates regarding Richemont's tax rate; we now model the tax rate in line with its FY26 (year to March 2026) effective rate of 20.4% (note that the dip in tax rate in FY25, to 16.5%, was due to non-cash accounting factors). Our FY27-FY29 EPS come down by 2.3%. Our price target is now CHF 220 (vs. CHF 225 previously).
- **Kering** manufactures about ~15% of its products in France, we estimate (with most of its brands manufactured in Italy), so we estimate its revenue in France (including inter-company sales) is less than €3bn. On that basis, we presume Kering would fall into the lower tax surcharge bracket. As a result of both these factors, the tax surcharge did not have a meaningful impact in 2025.

Exhibit 1: Effective tax rate for LVMH, Hermès and Richemont

Tax rate	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026e	2027e	2028e	2029e
Tax surcharge implemented																				
LVMH	30.7%	29.6%	31.8%	30.8%	27.1%	33.0%	32.6%	29.2%	26.3%	27.4%	32.7%	26.2%	26.7%	26.2%	28.5%	32.8%	32.8%	32.8%	32.8%	32.8%
MSe																	32.1%	29.4%	29.0%	28.9%
VA ccs																	+74 bps	+344 bps	+377 bps	+385 bps
Hermès	33.7%	32.3%	31.7%	33.3%	33.2%	35.8%	33.7%	35.4%	32.5%	33.1%	30.9%	29.5%	28.2%	27.8%	28.7%	33.4%	33.4%	33.4%	33.4%	33.4%
MSe																	33.4%	30.2%	29.4%	29.1%
VA ccs																	+5 bps	+322 bps	+404 bps	+427 bps
Richemont	FY-11	FY-12	FY-13	FY-14	FY-15	FY-16	FY-17	FY-18	FY-19	FY-20	FY-21	FY-22	FY-23	FY-24	FY-25	FY-26	FY-27	FY-28	FY-29	FY-30
MSe	16.7%	14.6%	15.6%	16.5%	21.5%	17.9%	22.5%	25.5%	21.6%	22.6%	15.1%	17.2%	17.9%	18.1%	16.5%	20.4%	20.4%	20.4%	20.4%	20.4%
VA ccs																	18.6%	18.5%	18.4%	17.9%
																	+178 bps	+190 bps	+199 bps	+253 bps

Source: Visible Alpha, Company data, Morgan Stanley Research estimates (e). Note: Consensus as of 27 July 2026

Risk Rewards

Risk Reward – Hermes International S.C.A. (HRMS.PA)

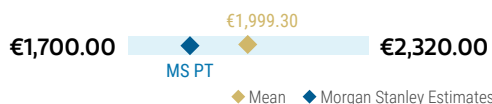
We see the risk/reward profile as balanced

PRICE TARGET €1,850.00

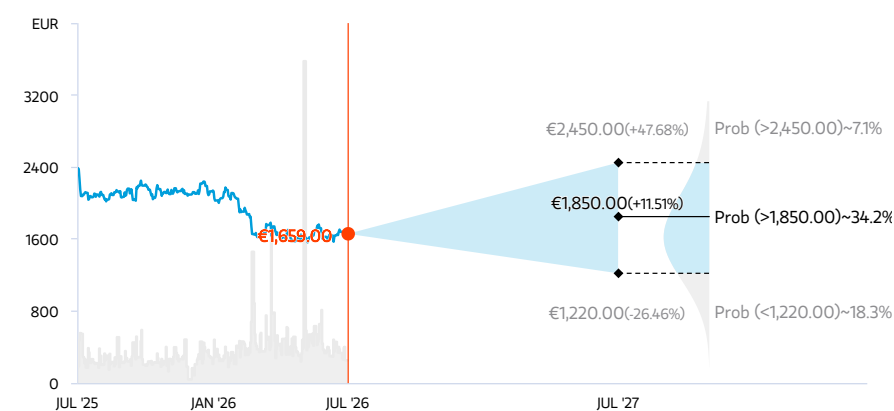
We use a DCF-based valuation methodology, as we think this best reflects Hermès' margin potential and cash flow generation. We assume a WACC of 6.3% and a long-term growth rate of 2.8%.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



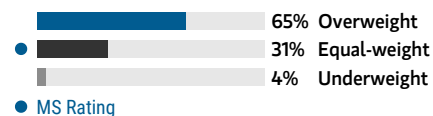
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 27 Jul 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

EQUAL-WEIGHT THESIS

We believe that Hermès' shares are appropriately valued by the market, with top-line estimates embedding high-single-digit growth for the next couple of years.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Pricing Power: *Positive*
Secular Growth: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

€2,450.00

Faster increase in the share of leather goods

We model Hermès increasing its operating margin from 40% in 2025 to ~44% in 2034e (and 15% average top-line growth), mostly driven by a higher share of leather goods (from 50% in 2020 to 60% in 2024, more or less in line with Saint Laurent today at 69%) in the sales mix and acceleration in growth of the non-leather goods category.

BASE CASE

€1,850.00

Steady HSD/LDD growth

We forecast Hermès' EBIT margin to reach 43% by 2033. Margin expansion is a function of higher sales densities (annual selling space growth remains limited), higher share of online sales and higher-margin categories increasing in the mix.

BEAR CASE

€1,220.00

Margin reversion and slower growth

Assumes that Hermès' margin reverts within five years, reaching 38% by 2030 vs. 41% in 2022 (and top-line growth is +6% on average). This is mostly driven by lower pricing power on its iconic products as the brand's desirability declines and overall demand for luxury goods from Chinese nationals softens.

Risk Reward – Hermes International S.C.A. (HRMS.PA)

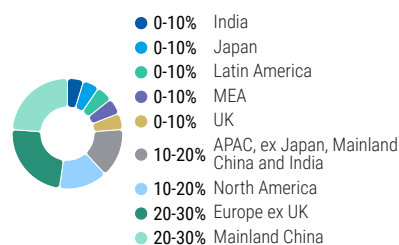
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Group % Change - constant currency (%)	8.9	7.1	9.1	10.7
Europe % Change - constant currency (%)	10.3	6.5	9.7	11.2
Americas % Change - constant currency (%)	12.4	14.0	10.0	10.0
APAC % Change - constant currency (%)	6.5	5.5	8.3	10.4

INVESTMENT DRIVERS

- Spending of Chinese nationals on luxury goods
- Brand desirability
- Leather goods supply

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

5/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Operating margin lifted by a higher share of most profitable categories in the sales mix

RISKS TO DOWNSIDE

- Discount rate: two-thirds of Hermes' equity value is in its TV
- FX: majority of Hermès' products are manufactured in the euro zone
- Overdependence on a few iconic products? We estimate Birkin & Kelly bags account for ~25% & 33% of sales & profits, respectively
- Middle-income consumers become the main growth driver

OWNERSHIP POSITIONING

Inst. Owners, % Active	65.7%				
HF Sector Long/Short Ratio	1.6x				
HF Sector Net Exposure	7.6%				

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (€ mn)	16,322	16,754	17,051
		16,759	

EBIT (€ mn)	6,529	6,772	6,834
		6,729	

EPS (€)	43.16	44.93	47.34
		44.44	

DPS (€)	15.00	18.78	30.00
		20.05	

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – Richemont SA (CFR.S)

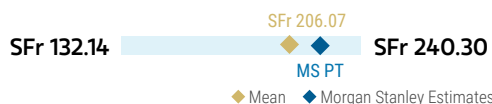
Risk/reward profile is skewed to the upside

PRICE TARGET SFr 220.00

We use a DCF-based valuation methodology, which we think best reflects the company's margin potential and cash flow. We assume a WACC of 8.4% and long-term growth rate of 2.5%.

Consensus Price Target Distribution

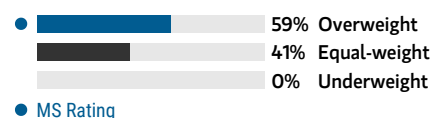
Source: Refinitiv, Morgan Stanley Research



OVERWEIGHT THESIS

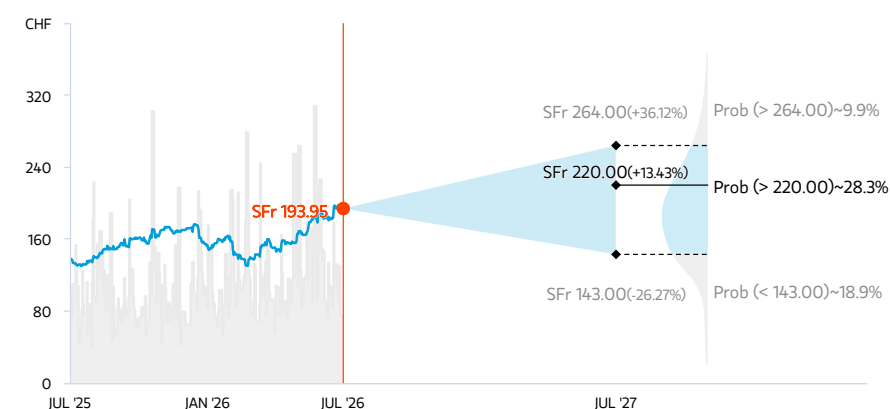
Richemont is a fundamentally stronger organisation today than five or 10 years ago, mostly as a function of the fact that its two largest brands (Cartier and Van Cleef) are performing better and account for a greater share of the Group's sales and profits.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 27 Jul 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

Risk Reward Themes

Pricing Power: *Positive*
Self-help: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

SFr 264.00

Sustained top-line and EBIT growth

Assumes that Jewellery Maisons organic sales grow at a double-digit CAGR in the next five years. EBIT margin of Jewellery Maisons division reaches 40% in FY28.

BASE CASE

SFr 220.00

Top-line growth, operating leverage

We forecast Jewellery Maisons organic sales to grow at c.+9% CAGR to €20.4bn in FY28. We expect further operating leverage as JM's margins should broadly reach ~35% in FY28.

BEAR CASE

SFr 143.00

Flattish Jewellery Maisons sales FY24-28e

Assumes that demand from the West contracts over the next 12 months, while China recovery is more sluggish than anticipated. Sales at both Jewellery Maisons and Specialist Watchmaker divisions turn negative, leading to further margin contraction. We model flattish Jewellery Maisons sales across FY24-28. Jewellery Maisons margins contract by -150 bps on average per year across FY24-28 to below 30%.

Risk Reward – Richemont SA (CFR.S)

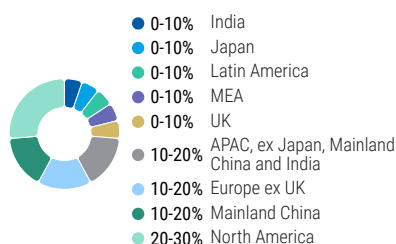
KEY EARNINGS INPUTS

Drivers	Mar 2026	Mar 2027e	Mar 2028e	Mar 2029e
Group Organic Growth in % (constant FX) (%)	11.0	12.1	8.5	8.6
Jewellery Maison Organic Growth in % (%)	14.0	14.5	9.2	9.0
Specialist Watchmakers Organic Growth in % (%)	1.0	4.5	6.5	8.0

INVESTMENT DRIVERS

- DOS and wholesale sales
- Swiss watch data
- Global gold and diamond pricing
- Online distributors strategy on client service, discounting

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

3/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- If our assumption of an efficiency focus materialises, this would likely result in EPS growth.
- Cartier jewellery sales growing more than expected.

RISKS TO DOWNSIDE

- A material slowdown in China when the US slows down presents the biggest risk to Richemont.
- Continued deterioration in the watch segment.

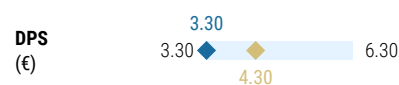
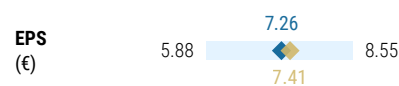
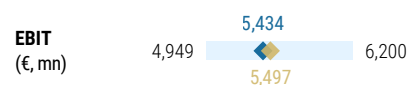
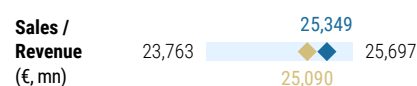
OWNERSHIP POSITIONING

Inst. Owners, % Active	68%				
HF Sector Long/Short Ratio	1.6x				
HF Sector Net Exposure	7.6%				

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MS ESTIMATES VS. CONSENSUS

FY Mar 2027e



◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

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Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

Hermes International S.C.A. (HRMS.PA) - As of 07/28/26 GMT in EUR
Industry : Brands



Stock Rating History: 7/1/21 : E/I; 2/7/24 : O/I; 10/6/25 : E/I

Price Target History: 4/22/21 : 1075; 7/30/21 : 1180; 10/21/21 : 1300; 1/18/22 : 1429; 9/23/22 : 1315; 10/20/22 : 1400;
1/17/23 : 1780; 3/2/23 : 1900; 4/14/23 : 2080; 9/26/23 : 2000; 2/7/24 : 2380; 3/4/24 : 2520; 7/25/24 : 2482; 9/9/24 : 2300;
1/8/25 : 2600; 2/14/25 : 3000; 6/17/25 : 2720; 7/30/25 : 2600; 9/4/25 : 2550; 10/6/25 : 2420; 1/14/26 : 2530; 3/23/26 : 2280;
4/15/26 : 1930

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Richemont SA (CFR.S) - As of 07/28/26 GMT in CHF
Industry : Brands



Stock Rating History: 7/1/21 : O/I; 9/26/23 : E/I; 2/5/25 : O/I

Price Target History: 5/21/21 : 114; 10/28/21 : 124; 11/12/21 : 152; 1/18/22 : 165; 5/25/22 : 125; 11/11/22 : 137; 1/17/23 : 160;
4/25/23 : 175; 5/12/23 : 185; 7/17/23 : 180; 9/26/23 : 138; 11/10/23 : 125; 5/17/24 : 142; 9/4/24 : 136; 11/8/24 : 131;
1/14/25 : 148; 2/5/25 : 200; 3/21/25 : 190; 7/16/25 : 180; 10/6/25 : 183; 11/14/25 : 192; 6/2/26 : 200; 7/22/26 : 225

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

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INDUSTRY COVERAGE: Brands

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/27/2026)
Edouard Aubin		
Adidas (ADSGn.DE)	O (04/15/2024)	€179.65
Birkenstock Holding plc (BIRK.N)	E (11/06/2023)	US\$41.55
Ferrari NV (RACE.N)	O (06/15/2026)	US\$380.01

Ferrari NV (RACE.MI)	O (06/15/2026)	€331.80
Hermes International S.C.A. (HRMS.PA)	E (10/06/2025)	€1,659.00
Kering (PRTP.PA)	E (04/10/2026)	€242.85
LVMH Moët Hennessy Louis Vuitton SA (LVMH.PA)	E (01/19/2026)	€466.80
Richemont SA (CFR.S)	O (02/05/2025)	SFr 193.95
Grace Smalley, CFA		
Burberry (BRBY.L)	O (05/18/2026)	1,086p
EssilorLuxottica SA (ESLX.PA)	O (07/05/2023)	€165.40
Hugo Boss AG (BOSSn.DE)	E (07/09/2024)	€37.92
Luxexperience BV (LUXE.N)	E (09/15/2023)	US\$8.26
Pandora A/S (PNDORA.CO)	E (01/16/2023)	DKr 780.20
PUMA SE (PUMG.DE)	++	€28.49
Natasha Bonnet		
Avolta AG (AVOL.S)	E (04/24/2026)	SFr 48.14
Brunello Cucinelli (BCU.MI)	O (01/27/2026)	€83.56
Ermenegildo Zegna (ZGN.N)	E (02/12/2026)	US\$14.89
Moncler SpA (MONC.MI)	E (06/22/2026)	€48.25
Prada SpA (1913.HK)	E (06/29/2026)	HK\$38.90
Salvatore Ferragamo Spa (SFER.MI)	U (02/12/2026)	€9.93

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* Historical prices are not split adjusted.